



**QUIDEL FOURTH QUARTER 2021
CONFERENCE CALL SCRIPT
Thursday, February 17, 2022
2:00 p.m. PT/ 5:00 p.m. ET**

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation fourth quarter and full year 2021 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

Ruben Arqueta

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our President and Chief Executive Officer, Doug Bryant, and our Chief Financial Officer, Randy Steward. Also on the call are Chris Smith, Ortho's Chairman and Chief Executive Officer, and Joe Busky, Ortho's Chief Financial Officer.

Our fiscal fourth quarter and full year 2021 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on February 17th, for a period of 24 hours.

Please note that some of the information we provide during today's conference call will include forward-looking statements, including, but not limited to, the types of statements identified as forward-looking in our Annual Report on Form 10-K that we will file later today, which will be available on our IR website. Actual results may differ materially from those projected in any forward-looking statement. For a further description of the risks and uncertainties that could cause actual results to differ materially from those expressed in the forward-looking statements, as well as risks related to our business and the proposed

business combination with Ortho Clinical Diagnostics, please see our Annual Report on Form 10-K and subsequent periodic reports and registration statements filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of today. Except as required by law, we undertake no obligation to update these forward-looking statements or time-sensitive information, which speak only as of today. Today, Quidel released financial results for the three and twelve months ended December 31, 2021. If you have not received our earnings release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to take your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Good afternoon everyone. Thanks for joining us.

2021 marked another truly outstanding and transformational year for Quidel. Seemingly everything we did was Big:

- We opened our largest immunoassay manufacturing facility in just nine months;
- Boosted output tenfold to help meet demand;
- Entered the retail and at-home testing markets with QuickVue At-Home OTC COVID-19 assays;
- Created strategic partnerships with CVS, Walgreens, McKesson, the NIH and others; and
- Entered into a 12-month agreement with the U.S. government estimated at over \$500 million dollars.

Much of what we did was Bold:

- Continuing to ramp production of QuickVue and Sofia rapid immunoassays when competitors were retrenching;
- Overcoming supply chain challenges and production interruptions caused by positive COVID-19 cases within our workforce;
- Launching our revolutionary Savanna MDx instrumented system outside the U.S.;
- And signing a definitive agreement to acquire Ortho Clinical Diagnostics – a transaction that we expect will double our size and more than double our addressable global market.

And the sum of what we did was Breathtaking:

- Investing in manufacturing multiplied our scope and scale, positioning us for long-term, sustainable growth;
- Our performance was exceptional across the board – from our research labs to our facilities and operations, to our finance and functional departments;
- 2021 was the highest revenue year in Quidel's history, surpassing a high-growth 2020 revenue number;
- We dramatically broadened the range of patients, partners, and providers we serve;
- And we emerged from a challenging year with the strongest portfolio of physical, financial, and intellectual assets in our history.
- The combination of Quidel and Ortho is expected to create an end-to-end diagnostics solutions portfolio that spans from the high volume, high complexity hospitals and labs to the farthest reaches of point of care and the vast untapped channels of retail, OTC and tele-diagnostics.

To sum up, our markets are significant, our runway is long, and as I will lay out further on this call, we have the team, the strategic roadmap, and

the can-do culture that we call the "Quidel Way" to make the most of the opportunities we see ahead.

Let's turn quickly to the numbers. Revenue for the fourth quarter was \$637 million dollars. We experienced a shift in product mix from Sofia products delivered through the professional market to QuickVue products that have taken off in the retail, pharmacy, and employer testing markets. On a full-year basis, revenue increased 2%, primarily supported by strong demand for COVID-19 rapid immunoassay products, for both Sofia and QuickVue.

Growth in rapid immunoassay supported our performance for the year, with QuickVue sales increasing exponentially. We entered strategic partnerships with major retail names like CVS and Walgreens to further expand into the retail and online entry points for the consumer at-home testing market. The uptake in both sales and brand recognition is building solid inroads for us to serve the retail sector, which we hope to participate in on a longer-term basis.

Our acceleration of assay development and production has also served to broaden our footprint at the point-of-care, helping drive introduction of our full portfolio to new groups of highly engaged patients and providers.

For example, there continues to be a vast opportunity to capture demand in emerging markets through both telehealth technology and digital health capabilities, expanding patient access to a broad range of point-of-care and OTC diagnostic products. In this space, we have both SofiaQ as well as a recently launched self-test mobile application that we call QVue Business, to help address enterprise and employee-health use cases, and have a consumer version of the app in development.

As part of our focus on democratizing access to testing, we take considerable pride in the fact that we supported financially or donated a portion of our COVID-19 testing production to charitable organizations such as The United Way, the Jets Foundations, University of Arizona, the Chicano Federation of San Diego and the Blackhawks Foundation through our academic, government and sports league partners. Our charitable partnerships helped serve some of the communities hit hardest by COVID-19 and we are proud to have played a part in increasing equitable access to diagnostics testing.

In January, we saw incredibly strong demand for our Sofia COVID-19 antigen test in the professional market as well as demand for our QuickVue at-home product, as a result of elevated COVID-19 case counts. As we move closer to the end of February, we are seeing

demand moderate in the professional and retail markets commensurate with lower COVID-19 positive cases but bolstered by the continued fulfillment of state and U.S. government orders, as COVID-19 shifts from a pandemic to what some scientists anticipate as an endemic phase. Unless the government changes direction, we would expect that demand will continue through the second quarter. While we won't speak at this time about full-year 2022 revenue expectations, what we will say confidently is that Q1 2022 will be our largest quarter in terms of revenue in the history of Quidel.

During 2021, we also announced the transition of the Beckman BNP Business to Beckman Coulter, concluding the litigation that had been ongoing since the purchase of the business in October 2017. This agreement is a major step forward for both Quidel and Beckman. It enables us to focus on expanding our core businesses and executing on our longer-term strategy while also establishing for Quidel a stable cash flow stream through 2029, the remainder of the term of the existing BNP supply agreement.

As long as we're on the subject of future cash flow streams, I'd also like to address progress we've made with our revolutionary Savanna platform, and what lies in store for us as we prepare for its U.S. launch

later this year. The Savanna platform will be our next flagship product, and we are incredibly proud of the progress made to date. Savanna allows for PCR testing of up to 12 pathogens plus controls from a single sample. The amplification time is very fast, with total turnaround time for our RVP panels in approximately 20 minutes. The Savanna platform is fully integrated, very easy to use, and will have both direct swab and liquid sample compatibility. The reagent is stable at room temperature, which is a huge deal – particularly in hospital labs.

As I mentioned at the outset, we've already launched in the E.U. We're in-market in a limited launch with our RVP4 respiratory panel and have received very positive customer feedback to date, including requests for additional instruments. We expect 2022 to be a busy year for Savanna, as we work toward EUA for RVP4, and 510(k) submission for our RVP11 assay, as well as for our HSV/VZV, STI and gastrointestinal panels. We also plan on automating our manufacturing line, thereby substantially increasing our production capacity for our Savanna cartridges. Once launched in the U.S., we're targeting revenues of over \$300 million dollars per year within three years. Much of that will be determined by our ability to manufacture instruments and fully automate our cartridge manufacturing lines but if we've demonstrated anything during this

pandemic, it's that we can scale rapidly, which bodes well for a flawless, successful launch.

Aside from our team's extraordinary execution in scaling our operations to help meet demand for COVID-19 testing, our biggest highlight came at the very end of the year with the announcement of our agreement to acquire Ortho Clinical Diagnostics. We believe this transformative acquisition will position Quidel as a global leader in diagnostics, substantially diversifying our product pipeline while widening our global reach and scale. Our agreement to acquire Ortho for a combination of cash and newly-issued shares in the combined company is expected to make us one of the larger pure-play diagnostics companies in the industry. Bringing our two leading companies together will give us the ability to leverage complementary expertise and an unparalleled range of capabilities to drive growth into new markets.

The highly complementary nature of Quidel's and Ortho's product portfolios is expected to create ample cross-selling opportunities across a diverse customer and channel mix, enabling us to maximize the value of existing platforms and drive worldwide growth. The future revenue synergies are particularly attractive with Savanna, given Ortho's deep roots among laboratory customers and extensive global commercial

reach. Driving global commercial execution of Savanna will be a chief priority for us in 2022 and beyond.

The planned Ortho acquisition is expected to more than double our global market opportunity estimated to be worth over \$50 billion dollars between the point-of-care, clinical laboratory, and transfusion medicine categories. Financially, it allows us to maintain 9-11% top-line growth post-COVID and generate 30%+ EBITDA margins and substantial operating cash flow, creating a pathway for strong value creation over the long-term.

Culturally, Quidel and Ortho are an excellent fit, which was a key factor in our decision to move forward with the acquisition. Both companies share a passion for advancing innovation and enhancing the well-being of the customers, patients, and communities we serve.

Of course, we are already hard at work setting the stage for a smooth integration. With our proven experience in successfully integrating acquired businesses into our operations, we are confident we have the right processes in place, and with the help of the great people at Ortho, we believe that we will achieve the milestones we've set for ourselves once integration plans can be implemented post-closing.

For a bit of background, our integration approach will be similar to the process we used to integrate the Alere assets – a transaction that doubled the size of our organization at the time. In some ways, that acquisition presented a more technically challenging integration. It was a carve-out asset purchase that did not include international entities and required a lengthy, staged deferred closing process throughout the world over a number of years. We also spent a significant amount of time understanding the Alere culture, how Triage product was manufactured and sold, and the ins and outs of the Beckman BNP Business.

So, we devoted a lot of energy to finding the right integration structure and working collaboratively with our new colleagues and third-party integration specialists to plan for a successful integration. It was essential for us to get it right. And in the end, we harvested about \$20 million dollars in synergies from a \$250 million dollar set of businesses in a little over two years, and significantly de-levered from over 4X leverage to under 1X. We also improved the company morale, which had been under-prioritized, in our view. Given this experience and outcome, we believe we have a good system in place that is thoughtful, effective and reproducible.

Ortho is a great company, with very talented employees, strong processes, and a positive, customer-centered culture. We believe that both Ortho and Quidel can learn from each other and are taking a truly collaborative approach. We've appointed integration planning leaders on both the Quidel and Ortho sides - Kristin Caltrider and Bob Dunn - who are aided by a select team of employees focused on the integration and third-party integration specialists. Our approach is currently broken down into three parts: first is Integration Strategy and Day 1 Planning; second is Day 1 Readiness and Execution; and third is the Post-Execution Phase. We plan to identify and utilize the best of what makes both companies exceptional. Philosophically, our guiding principles for the post-closing integration involve 6 points:

- Ensure continued momentum and preserve the core across both businesses;
- Empower leaders with the right tools and information to make decisions that drive continued growth;
- Energize and retain team members at Quidel and Ortho with pro-active communication and retention incentives throughout the integration;
- Capture projected cost synergies by leveraging combined scale of the two businesses;

- Enhance our go-to-market model to maximize commercial benefit and capture projected revenue synergies; and
- Optimize R&D priorities to match future strategy across U.S. and ex-U.S.

We've identified \$90 million dollars in expected cost synergies that we think are achievable by the end of the third year. These cost synergies are driven by operational efficiencies, supply chain optimization, and shared administrative functions, including duplicative public company costs. Further, we've identified \$100 million dollars in expected revenue synergies by 2025, with approximately 80% to come from cross-selling opportunities and our expanded geographical footprint to sell Savanna and other products in ex-U.S. markets.

Our integration teams are working well together in planning the integration, and I believe that shortly after closing, we will begin harvesting synergies, paying down debt, growing both businesses and bringing together two remarkable organizations. In addition, as you saw in Ortho's 8-K yesterday, Chris Smith, Ortho's CEO, will be joining me as a special advisor. Since 2019, Chris and his team have rejuvenated their company and I think it would be short-sighted to not avail myself of

his experience and expertise to assist me in thinking through things that we know we will need to address, as well as those that are unknown at this time.

Based on our current expectations, we anticipate holding the special meeting for stockholders to vote on the acquisition in late April and expect the acquisition to close in the first half of the year. The completion of the acquisition is conditioned upon, among other things, the early termination or expiration of any applicable waiting period under the HSR Act. The good news is that, effective 11:59 p.m. EST on February 9, 2022, the waiting period under the HSR Act expired with respect to the acquisition. However, the completion of the acquisition remains subject to other closing conditions. Post-closing, we anticipate the integration will be complete within approximately two years.

In closing, I am enormously proud of our accomplishments in 2021 and want to thank our Quidel team for the courage, creativity and resilience they showed personally and collectively in driving our business forward amid all the challenges of a second pandemic year. Their steadfast commitment to our mission of advancing diagnostics to improve human health is responsible for our success as a company and as an impactful corporate citizen when our contributions mattered most.

We look forward to driving further operational excellence in 2022 through strong execution against our growth roadmap. As we work to support our customers, partners and patients beyond the threat of COVID-19, we see great opportunities that lie ahead for Quidel to grow our core business and advance our diagnostics portfolio to improve the quality of healthcare and health outcomes across the globe. With the U.S. launch of Savanna, and the planned Ortho acquisition, we have many great opportunities to continue accelerating our growth throughout 2022, and beyond. I'm excited to see our company further transform into a leading diagnostics player as we execute on these opportunities to enhance our competitive positioning and create long-term shareholder value.

Randy?

RANDY STEWARD

Fourth Quarter 2021 Financial Results

Thank you, Doug. Good afternoon everyone. 2021 was a significant year in Quidel's history. We continued the great momentum from 2020 and 2022 is off to a very strong start as well. To reiterate Doug's comments, I'd also like to thank all of our employees, who demonstrated

great resolve and dedication to overcome the many challenges we faced this past year. We accomplished much, including achieving the highest revenue year in Quidel's history. During my tenure here, Quidel's incredible culture has been the cornerstone of our continued growth and ability to drive improved outcomes for our patients and customers. I am so proud to be a part of what we have achieved at Quidel.

As reported, total revenues for the fourth quarter of 2021 were \$636.9 million dollars. During the period, we experienced a shift in demand from Sofia COVID-19 products to QuickVue COVID-19 products. Sofia Combo revenue was lower than the prior year period by approximately \$250 million dollars. Foreign currency had a positive impact of \$2.0 million dollars in the quarter. Total COVID-19 revenue was \$511.8 million dollars, with \$466.7 million dollars coming from our Rapid Immunoassay products, and \$45.1 million dollars coming from our Molecular products, mostly driven by our Lyra COVID-19 product.

Within our product categories, Rapid Immunoassay revenues were \$521.0 million dollars in the fourth quarter of 2021. Within this category, Sofia products were \$92.8 million dollars, of which Sofia SARS antigen product sales were \$47.2 million dollars. Influenza, which includes our

Combo test, and Strep revenue made up the majority of the balance of the Sofia revenue. QuickVue product revenues were \$427.0 million dollars, driven by strong sales of our QuickVue COVID-19 tests, which were \$419.5 million dollars. We sold over 65 million QuickVue tests in the quarter, broken out between approximately 13 million QuickVue Professional SARS tests and approximately 52 million At-Home OTC COVID-19 tests in the quarter. Of the QuickVue At-Home OTC test volume, our retail channel consisted of 44% of the total volume, the majority of which flowed through our pharmacy partners. The traditional distribution channel, shipping into mostly e-commerce and other employer groups, formed 21% of the volume, with 29% going to government agencies. Included in the government numbers was 3.5 million tests shipped to the U.S. federal government as part of the 108 million test order. In January, we started increasing our shipments to the government and now anticipate completing that order by the end of the second quarter. In addition, we are continuing dialogue with various government agencies around the potential to purchase more tests as part of warm manufacturing programs and pandemic preparedness.

For the Cardiometabolic Immunoassay business, revenue was \$52.8 million dollars, lower than the prior year quarter as a result of the agreement we entered into with Beckman Coulter in July 2021. The

agreement states that, in connection with transitioning the Beckman BNP Business to Beckman Coulter, Quidel receives annual cash payments of between \$70 million dollars to \$75 million dollars per year through 2029, and a pro-rated payment in 2021. In the fourth quarter, we recorded revenue of \$17.9 million dollars associated with this agreement. The Triage business generated revenue of \$34.9 million dollars in the quarter versus \$36.4 million dollars in the fourth quarter of last year, with strong growth in China, offset by weakness in the U.S.

Our Molecular Diagnostic Solutions revenue was \$50.9 million dollars. The decrease versus fourth quarter last year was due to a decrease in Lyra SARS-CoV-2 assay revenue, as additional competitive COVID-19 products came into the market. Lyra COVID-19 revenue was \$37.2 million dollars in the quarter and Solana COVID-19 revenue was \$7.9 million dollars. We were very pleased with the performance of this business in the fourth quarter, and for the year.

In the quarter, total Influenza revenue was \$40.5 million dollars. Influenza revenue included Sofia Flu revenue of \$11.5 million dollars and Sofia SARS combo test revenue of \$24.6 million dollars. Influenza revenue remained low due to a low prevalence of influenza in the U.S.

Gross profit in the fourth quarter of 2021 was \$489.3 million dollars, and the gross profit margin was 77%. We continue to realize good product margins from our COVID-19 tests, though margins are lower than last year due to a shift in product mix from higher margin Sofia SARS products to lower margin QuickVue COVID-19 products, as well as targeted price reductions.

Our significant investment in R&D continued in the fourth quarter as we focused on expanding our robust pipeline of proprietary assays across our QuickVue, Sofia, Sofia Q, and Savanna platforms, as well as ramping up our investment in the next generation platforms, such as Project Leapfrog.

From a Sales and Marketing perspective, we will continue to invest in people and resources to expand our reach, as well as increase our spend in marketing, product promotions and corporate partnerships in support of the at-home testing market.

As it relates to the annual provision for income taxes, we recorded income tax expenses of \$196.1 million dollars for the full year, which represents an effective tax rate of approximately 22%. State tax obligations increased our rate above the federal statutory rate of 21%,

offset by tax benefits from excess stock-based compensation, foreign derived intangible income and research credits.

We realized another excellent year of positive cash flow for the company, generating over \$800 million dollars of cash flow from operations. We utilized some of that cash to significantly increase our production for both our Sofia and QuickVue product lines. We maintain no debt on our balance sheet, and only have two remaining deferred consideration annual payments to Abbott for the Alere assets purchased back in October 2017. The remaining balance owed to Abbott is \$88 million dollars, of which \$48 million dollars will be paid in April of this year. As of February 11th, we had approximately \$925 million dollars of cash, cash equivalents and marketable securities on the balance sheet, and we estimate this balance to be over \$1.2 billion dollars by the end of the first quarter. We anticipate utilizing a majority of this cash toward the Ortho acquisition, which we anticipate closing in the first half of this year.

In 2022, we are expecting to spend approximately \$150 million dollars in capital expenditures, mostly relating to Savanna cartridge automation, Savanna instruments and the expansion of our new Carlsbad manufacturing facility.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had an excellent fourth quarter. We have accomplished much, but there is still a lot of work to do. We had an excellent 2021, we're well-positioned for 2022, and we believe we're in good shape to achieve our growth objectives over the next few years. Thanks again for being on the call.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.